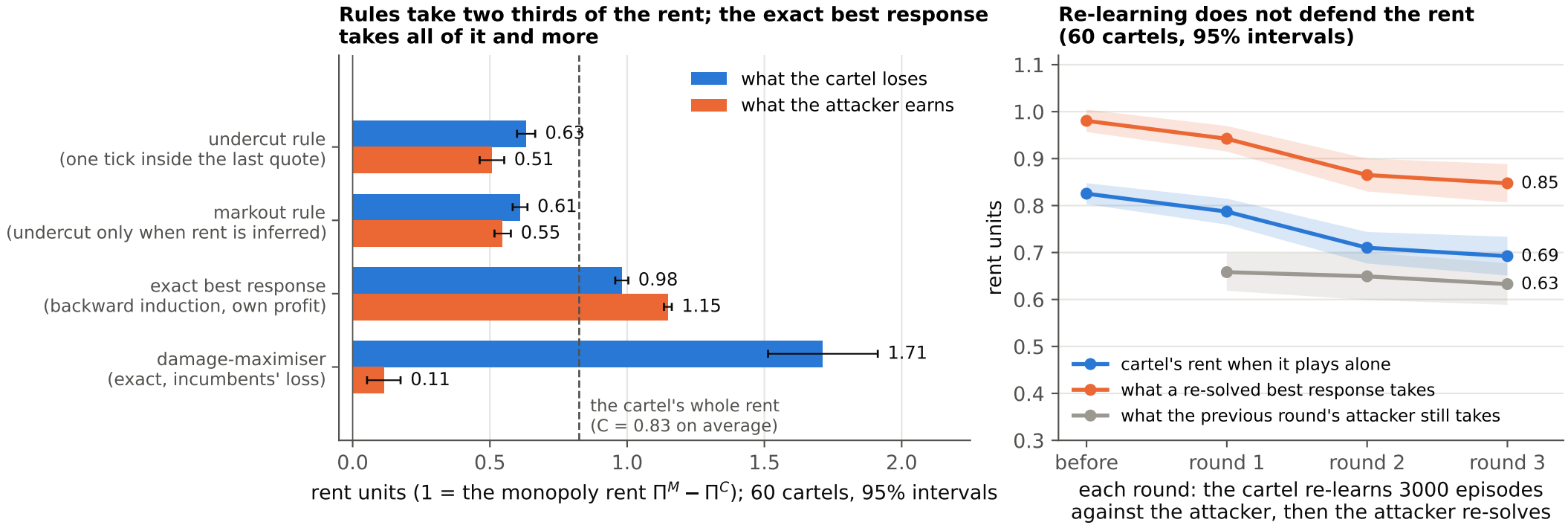
Rules take two thirds of the rent; the exact best response takes all of it and more
what the cartel loses
what the attacker earns
undercut rule
(one tick inside the last quote)
0.63
0.51
markout rule
(undercut only when rent is inferred)
0.61
0.55
exact best response
(backward induction, own profit)
0.98
1.15
damage-maximiser
(exact, incumbents' loss)
1.71
0.11
the cartel's whole rent
(C = 0.83 on average)
0.0
0.5
1.0
1.5
2.0
rent units (1 = the monopoly rent $\Pi^M - \Pi^C$); 60 cartels, 95% intervals
Re-learning does not defend the rent
(60 cartels, 95% intervals)
rent units
1.1
1.0
0.9
0.8
0.7
0.6
0.5
0.4
0.3
0.85
0.69
0.63
cartel's rent when it plays alone
what a re-solved best response takes
what the previous round's attacker still takes
before
round 1
round 2
round 3
each round: the cartel re-learns 3000 episodes
against the attacker, then the attacker re-solves